Regulatory Briefing

RBA Interchange Fee Reform: Impact on Rewards Cards

Prepared for Wattlebird Bank Consumer Finance Team | July 2026

Summary of Changes (Effective 1 October 2026)

The RBA's Conclusions Paper (March 2026) finalised reforms to card payment interchange fees alongside a ban on merchant surcharging. The changes most relevant to consumer credit card issuers are:

- Consumer credit interchange cap reduced from 0.80% to 0.30% (weighted average currently ~0.50%)
- Debit/prepaid cap reduced from 10c/0.20% to 8c/0.16%
- Commercial credit interchange unchanged at 0.80%
- Foreign-issued card interchange capped at 1.00% from 1 April 2027
- Merchant surcharging banned on all domestic Visa, Mastercard, and eftpos transactions

Industry Revenue Impact

The RBA estimates approximately $660M per annum in reduced issuer interchange revenue, with the bulk falling on consumer credit card issuers. The regulator explicitly noted that consumer credit interchange has been funding cardholder rewards programs.

Total projected consumer savings: ~$910M/year from interchange reductions plus ~$1.6B/year from eliminated surcharges.

Competitive Landscape

All four major banks (CBA, Westpac, NAB, ANZ) submitted to the RBA consultation opposing the reduction. Key themes from submissions:

- Banks warned of reduced rewards, higher card fees, or higher interest rates
- Some flagged potential withdrawal from commercial card segments
- Smaller issuers raised viability concerns under compressed margins
- Qantas Group submitted separately given its exposure through Frequent Flyer partnerships

No major bank has publicly announced specific product changes yet, but market expectations (based on analyst coverage and comparison site commentary) point to Q4 2026 earn-rate adjustments across the industry.

Consumer Advocacy Position

CHOICE collected 24,000+ signatures supporting the surcharging ban, framing card payment as 'a fair, free way to pay.' Consumer groups have not yet focused public attention on the rewards erosion angle, but this is expected once banks announce changes.

Comparison sites (Canstar, Finder) have confirmed the timeline but not yet published detailed rewards impact analysis. This represents a window for proactive communication before third-party narrative-setting begins.

Key Dates

- 1 October 2026: Surcharging ban + domestic interchange caps take effect
- 30 October 2026: Networks publish first quarterly interchange/scheme fee data
- 1 April 2027: Foreign card interchange cap + enhanced merchant statements